CIA Part 1 – Top 100 Hard Exam Questions

Comprehensive Practice Deck: Governance, Risk, Controls, Ethics, IT & QAIP

CIA Study Prep

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Deck Overview

100 curated high-level CIA Part 1 questions.

Covers IIA Code of Ethics, Governance, Risk Management, Controls, Engagement Execution, IT & Data Analytics, and QAIP.

Format: Question slide followed by a detailed Solution/Explanation slide.

Q1

Question: Which is the BEST description of "coordination" under Standard 2050?

A. Sharing all workpapers with everyone.

B. Coordinating activities with other assurance providers to ensure adequate coverage and minimize duplication.

C. Avoiding contact with other assurance providers.

D. Letting external audit direct internal audit.

Q1 – Solution & Explanation

Correct Answer: B

Solution: Standard 2050 requires coordination to ensure adequate coverage and minimize duplication.

A wrong: Unrestricted sharing may breach confidentiality.

C wrong: Avoidance causes duplication and gaps.

D wrong: External audit does not direct internal audit.

Q2

Question: Which is the MOST appropriate way for internal audit to rely on another assurance provider's work?

A. Rely without evaluation.

B. Evaluate the provider's competence, objectivity, and work quality before relying.

C. Rely only if the provider is a personal contact.

D. Rely only if it is inexpensive.

Q2 – Solution & Explanation

Correct Answer: B

Solution: Before relying on another provider, the auditor must evaluate competence, objectivity, and work quality.

A wrong: Blind reliance is improper and violates standards.

C wrong: Personal relationships are not an evaluation criterion.

D wrong: Cost is not a valid reliance criterion.

Q3

Question: Which is the BEST description of "reporting to senior management and the board" under Standard 2060?

A. Reporting only at year-end.

B. Reporting significant risk and control issues, including fraud risk and governance.

C. Reporting only positive audit outcomes.

D. Reporting findings directly to public media.

Q3 – Solution & Explanation

Correct Answer: B

Solution: Standard 2060 requires reporting significant risk and control issues, including fraud and governance.

A wrong: Reporting is ongoing as issues arise.

C wrong: Negative findings and adverse conditions must be reported.

D wrong: Media reporting breaches confidentiality.

Q4

Question: Which is the MOST appropriate way for internal audit to assess governance under Standard 2110?

A. Evaluate the marketing plan.

B. Evaluate ethics, board interaction, and governance processes.

C. Prepare financial statements.

D. Set strategic goals for management.

Q4 – Solution & Explanation

Correct Answer: B

Solution: Standard 2110 requires assessing governance, ethics, and board interaction processes.

A wrong: Operational marketing plans are not primary governance indicators.

C wrong: Financial statement preparation is management's responsibility.

D wrong: Setting strategy is management and the board's role.

Q5

Question: Which is the BEST description of "risk management" under Standard 2120?

A. Preparing financial statements.

B. Identifying, assessing, managing, and controlling risks.

C. Setting enterprise strategy.

D. Directing operational marketing.

Q5 – Solution & Explanation

Correct Answer: B

Solution: Risk management identifies, assesses, manages, and controls risk per Standard 2120.

A wrong: Financial reporting is an operational function.

C wrong: Setting strategy is management's task.

D wrong: Marketing is an operational domain.

Q6

Question: Which is the MOST appropriate way to assess the adequacy of an organization's control processes?

A. Count total controls present.

B. Evaluate whether controls mitigate risks within defined risk tolerance.

C. Interview the CEO exclusively.

D. Review the annual department budget.

Q6 – Solution & Explanation

Correct Answer: B

Solution: Controls are adequate if they effectively manage risks within established risk tolerances (Standard 2130).

A wrong: Quantity does not equal effectiveness.

C wrong: Single-source interviews are insufficient evidence.

D wrong: Budget amounts do not indicate control design or operation.

Q7

Question: Which is the MOST appropriate way to perform engagement-level risk assessment under Standard 2210.A3?

A. Ignore operational risks.

B. Assess risks relevant to the engagement's objectives and scope.

C. Rely exclusively on last year's risk assessment.

D. Use only management's risk register without testing.

Q7 – Solution & Explanation

Correct Answer: B

Solution: Engagement-level risk assessments must consider risks relevant to the specific engagement objectives (Standard 2210.A3).

A wrong: Ignoring risk violates IIA standards.

C wrong: Prior assessments must be re-validated.

D wrong: Management risk registers are inputs, not complete assessments.

Q8

Question: Which is the BEST description of "engagement resource allocation" under Standard 2230?

A. Random allocation across engagements.

B. Allocation based on the nature, complexity, and risk of the engagement.

C. Equal allocation across all audit universe items.

D. Allocation based on auditor tenure only.

Q8 – Solution & Explanation

Correct Answer: B

Solution: Resources must be allocated based on risk, complexity, and engagement nature (Standard 2230).

A wrong: Random allocation fails to address exposure.

C wrong: Equal allocation ignores risk variations.

D wrong: Seniority alone is not a risk-based metric.

Q9

Question: Which is the MOST appropriate way to evaluate information quality under Standard 2310?

A. Assess sufficiency, reliability, relevance, and usefulness.

B. Accept all management-provided information without testing.

C. Ignore contradictory information.

D. Utilize digital data exclusively.

Q9 – Solution & Explanation

Correct Answer: A

Solution: Standard 2310 requires auditors to collect sufficient, reliable, relevant, and useful information.

B wrong: Unverified acceptance violates due professional care.

C wrong: Contradictory evidence must be evaluated.

D wrong: Physical and oral evidence remain valid.

Q10

Question: Which is the BEST description of "analysis and evaluation" under Standard 2320?

A. Gathering raw information.

B. Analyzing and evaluating information to reach conclusions.

C. Writing the final audit report.

D. Setting organizational strategy.

Q10 – Solution & Explanation

Correct Answer: B

Solution: Standard 2320 requires auditors to base conclusions on appropriate analysis and evaluation.

A wrong: Information gathering falls under Standard 2310.

C wrong: Reporting is governed by Standard 2400.

D wrong: Setting strategy is a executive function.

Q11

Question: Which is the MOST appropriate way to evaluate "quality of communications" under Standard 2420?

A. Ensure communications are detailed and highly complex.

B. Ensure communications are accurate, objective, clear, concise, constructive, complete, and timely.

C. Limit communications to verbal exit briefings.

D. Use digital dashboard reporting exclusively.

Q11 – Solution & Explanation

Correct Answer: B

Solution: Standard 2420 explicitly lists seven quality criteria: accurate, objective, clear, concise, constructive, complete, and timely.

A wrong: Complexity hinders clarity.

C wrong: Formal written communications are frequently required.

D wrong: Communication formats should fit the audience.

Q12

Question: Which is the BEST description of "dissemination of results" under Standard 2440?

A. Publicly sharing audit reports with external media.

B. Distributing results to appropriate parties as defined by engagement objectives and charter.

C. Posting internal reports on an open website.

D. Restricting report dissemination solely to the auditee manager.

Q12 – Solution & Explanation

Correct Answer: B

Solution: Standard 2440 requires the CAE to communicate results to appropriate parties who can ensure proper evaluation.

A wrong: Public disclosure breaches confidentiality.

C wrong: Open posting compromises proprietary data.

D wrong: Governance bodies (board/management) must receive findings.

Q13

Question: Which is the MOST appropriate action if a communication contains confidential information that must be shared with the board?

A. Distribute without restriction to all organization employees.

B. Share with the board while explicitly limiting broader dissemination.

C. Publish online with a disclaimer.

D. Redact the information entirely before sending to the board.

Q13 – Solution & Explanation

Correct Answer: B

Solution: Confidential information may be shared with the board, but broader dissemination must be restricted (Standard 2440.A2).

A wrong: Unrestricted sharing breaches confidentiality policies.

C wrong: Publishing is improper.

D wrong: The board needs complete information to oversee risk.

Q14

Question: Which is the MOST appropriate way to perform ongoing internal QAIP assessments?

A. Continuously evaluate engagement performance and operations.

B. Conduct only one-time external reviews every five years.

C. Review the annual audit budget exclusively.

D. Issue random satisfaction surveys only.

Q14 – Solution & Explanation

Correct Answer: A

Solution: Ongoing internal assessments evaluate performance continuously across the audit activity (Standard 1311).

A wrong: Ongoing monitoring is continuous.

B wrong: External reviews are separate periodic requirements.

C wrong: Budget monitoring is administrative, not QAIP.

D wrong: Surveys represent only a single input.

Q15

Question: Which is the MOST appropriate action if an external quality assessment finds significant nonconformance?

A. Ignore the findings.

B. Develop an action plan and report the results to senior management and the board.

C. Hide the results from stakeholders.

D. Blame the external assessor for bias.

Q15 – Solution & Explanation

Correct Answer: B

Solution: Significant nonconformance requires corrective action plans and board reporting (Standard 1320).

A wrong: Ignoring findings violates IIA standards.

C wrong: Hiding results is professional misconduct.

D wrong: Blaming assessors is unprofessional.

Q16

Question: Which is the BEST description of "conformance" reporting under Standard 2430?

A. Reporting total external audit fees.

B. Reporting internal audit conformance with the Standards and Code of Ethics to the board.

C. Reporting marketing metrics.

D. Reporting departmental budget variances.

Q16 – Solution & Explanation

Correct Answer: B

Solution: The CAE reports conformance with the Standards and Code of Ethics to the board (Standard 2430).

A wrong: Audit fees are financial tracking.

C wrong: Marketing is unrelated.

D wrong: Budget variances are operational.

Q17

Question: Which is the MOST appropriate topic for the CAE to raise in a private session with the board?

A. Strategic marketing plans.

B. Sensitive issues management may be reluctant to address.

C. Cafeteria operational changes.

D. Individual staff auditor salary schedules.

Q17 – Solution & Explanation

Correct Answer: B

Solution: Private sessions give the CAE a secure forum to raise sensitive governance or management issues.

A wrong: Marketing is outside internal audit scope.

C wrong: Trivial administrative matters are inappropriate.

D wrong: Individual salaries are handled by administrative channels.

Q18

Question: Which is the MOST appropriate way to handle a scope restriction imposed by management?

A. Accept the restriction without pushback.

B. Report the restriction and its potential impact to the board per the charter.

C. Ignore the restriction and proceed anyway.

D. Quietly change engagement objectives to avoid conflict.

Q18 – Solution & Explanation

Correct Answer: B

Solution: Scope restrictions must be communicated to the board (Standard 1130/2600).

A wrong: Accepting restrictions compromises independence.

C wrong: Proceeding blindly creates legal and professional exposure.

D wrong: Objectives must not be altered silently.

Q19

Question: Which is the MOST likely red flag for fraudulent financial reporting?

A. Revenue growth consistent with operating cash flows.

B. Rapid revenue growth significantly exceeding cash flow generation.

C. Strong, multi-layered internal controls.

D. Timely regulatory filing disclosures.

Q19 – Solution & Explanation

Correct Answer: B

Solution: Revenue growing much faster than cash flow indicates potential premature or fictitious revenue recognition.

A wrong: Consistency is a normal business indicator.

C wrong: Strong controls lower fraud risk.

D wrong: Timely filing is a positive governance sign.

Q20

Question: Which is the MOST appropriate action if internal audit is asked to participate in a suspected fraud investigation?

A. Interrogate suspects independently.

B. Support the investigation by gathering evidence while legal/management lead.

C. Make the final legal determination of guilt.

D. Impose disciplinary employment actions.

Q20 – Solution & Explanation

Correct Answer: B

Solution: Internal audit supports fraud investigations through evidence gathering, while legal and management lead the process.

A wrong: Interrogation belongs to legal, security, or HR.

C wrong: Determining guilt is a judicial role.

D wrong: Discipline is management's responsibility.

Q21

Question: Which is the BEST description of "fraud risk factors"?

A. Conditions or events indicating incentives, pressures, or opportunities to commit fraud.

B. The calculated internal audit fee.

C. The departmental operating budget.

D. Corporate marketing strategy documents.

Q21 – Solution & Explanation

Correct Answer: A

Solution: Fraud risk factors are conditions reflecting incentives, opportunities, or rationalizations.

B wrong: Fees are financial transactions.

C wrong: Budgets are financial plans.

D wrong: Marketing is an operational area.

Q22

Question: Which is the BEST description of a "process owner" under the IIA Glossary?

A. The individual or group accountable for the operational process being evaluated.

B. The senior internal auditor performing fieldwork.

C. The audit committee chair.

D. The external statutory auditor.

Q22 – Solution & Explanation

Correct Answer: A

Solution: A process owner is responsible for managing and maintaining the activity being reviewed.

B wrong: The internal auditor performs evaluation, not ownership.

C wrong: The audit committee provides oversight.

D wrong: External auditors provide independent financial assurance.

Q23

Question: Which is the BEST description of an "auditee" under the IIA Glossary?

A. The person, group, or function subject to an internal audit engagement.

B. The lead internal auditor.

C. The board of directors.

D. The external audit engagement partner.

Q23 – Solution & Explanation

Correct Answer: A

Solution: The auditee is the specific entity or function being audited.

A wrong: The auditee is the subject of review.

B wrong: The auditor conducts the review.

C wrong: The board oversees the function.

D wrong: External partners lead independent audits.

Q24

Question: Which is the BEST description of a "stakeholder" under the IIA Glossary?

A. Anyone with a vested interest or concern in the organization's success.

B. The lead staff internal auditor.

C. The departmental expense budget.

D. The finalized internal audit plan.

Q24 – Solution & Explanation

Correct Answer: A

Solution: Stakeholders include all parties with an interest in the organization's objectives (board, management, regulators, public).

B wrong: Auditors are participants, not general stakeholders.

C wrong: Budgets are financial management tools.

D wrong: Plans are operational documents.

Q25

Question: Which is the BEST description of a "process" under the IIA Glossary?

A. A set of interrelated or interacting activities that transforms inputs into outputs.

B. The final printed audit report.

C. The annual financial budget.

D. The corporate marketing outline.

Q25 – Solution & Explanation

Correct Answer: A

Solution: A process is an interconnected set of activities designed to achieve specific objectives.

B wrong: The report is an output deliverable.

C wrong: Budgets are financial controls.

D wrong: Marketing plans are operational strategies.

Q26

Question: Which is the MOST appropriate way to assess the adequacy of internal audit resource levels?

A. Count total audit headcount relative to industry averages.

B. Assess whether available resources allow successful execution of the approved internal audit plan.

C. Review the total dollar allocation of the travel budget.

D. Conduct brief interviews with corporate human resources.

Q26 – Solution & Explanation

Correct Answer: B

Solution: Resource adequacy is measured by the ability to fulfill the internal audit mandate and plan (Standard 2030).

A wrong: Raw headcount ignores skill sets and risk coverage.

C wrong: Travel budgets do not measure total resource capacity.

D wrong: HR interviews do not measure audit coverage capability.

Q27

Question: Which is the BEST description of audit committee oversight responsibilities?

A. Performing direct fieldwork testing.

B. Overseeing internal audit independence, performance quality, and reporting lines.

C. Writing detailed engagement workpapers.

D. Negotiating commercial vendor contracts.

Q27 – Solution & Explanation

Correct Answer: B

Solution: The audit committee provides governance oversight over internal audit's independence, performance, and results.

A wrong: Internal audit executes fieldwork, not the committee.

C wrong: Workpapers are compiled by internal auditors.

D wrong: Vendor contracting is an executive management duty.

Q28

Question: Which test is MOST appropriate for verifying the completeness of recorded accounts payable?

A. Vouching entries from the general ledger down to vendor invoices.

B. Tracing from unrecorded receiving reports and vendor invoices up to the general ledger.

C. Confirming high-balance payables with major customers.

D. Reviewing the corporate marketing budget.

Q28 – Solution & Explanation

Correct Answer: B

Solution: Tracing source documents (receiving reports/invoices) to the ledger tests completeness.

A wrong: Ledger-to-invoice vouching tests existence.

C wrong: Customers confirm receivables, not payables.

D wrong: Budgets are irrelevant to payable completeness.

Q29

Question: Which is the MOST likely effect of an effective internal audit activity on corporate governance?

A. It weakens governance frameworks by duplicating duties.

B. It strengthens governance by providing independent objective assurance and insight.

C. It has zero measurable impact on organizational tone.

D. It replaces the board of directors entirely.

Q29 – Solution & Explanation

Correct Answer: B

Solution: Internal audit strengthens governance via objective assurance and advice.

A wrong: Effective coordination prevents duplication.

C wrong: It has a substantial positive impact.

D wrong: Internal audit supports, but never replaces, the board.

Q30

Question: Which control procedure is MOST effective for verifying the accuracy of a vendor invoice prior to disbursement?

A. Obtaining a single signature from the accounts payable clerk.

B. Performing a three-way match (Purchase Order, Receiving Report, and Vendor Invoice).

C. Making an informal telephone call to the vendor sales rep.

D. Reviewing the departmental annual financial budget.

Q30 – Solution & Explanation

Correct Answer: B

Solution: The three-way match verifies quantities, prices, and receipt of goods before payment.

A wrong: A single signature lacks verification controls.

C wrong: Informal calls lack audit trails.

D wrong: Budget review does not verify transaction accuracy.

Q31

Question: Which is the BEST description of "materiality" in internal auditing?

A. A fixed 5 percent threshold applied universally.

B. The magnitude of an omission or misstatement that could influence the decisions of a reasonable user.

C. The total annual audit fee.

D. The total operating budget allocation.

Q31 – Solution & Explanation

Correct Answer: B

Solution: Materiality evaluates whether an omission or misstatement would influence a reasonable user's judgment.

A wrong: Materiality involves qualitative and quantitative professional judgment, not a rigid fixed percent.

C wrong: Fees are administrative.

D wrong: Budgets are resource plans.

Q32

Question: Which is the MOST appropriate action if an auditor discovers that auditee personnel intentionally destroyed records?

A. Attempt to reconstruct the records independently without documenting the incident.

B. Document the spoliation of evidence thoroughly and notify legal counsel and the board.

C. Ignore the missing documents since testing can proceed around them.

D. Confront the auditee aggressively in public to force a confession.

Q32 – Solution & Explanation

Correct Answer: B

Solution: Record destruction (spoliation) is a severe legal and control violation; document and escalate.

A wrong: Independent reconstruction hides illegal evidence tampering.

C wrong: Ignoring missing files violates due care.

D wrong: Aggressive confrontation increases risk and breaches professionalism.

Q33

Question: Which is the BEST description of a "control deficiency"?

A. A control that is overly expensive to operate.

B. A condition where a control is missing or does not operate as designed to prevent/detect misstatements timely.

C. A control that lacks physical documentation.

D. An automated IT application control.

Q33 – Solution & Explanation

Correct Answer: B

Solution: A control deficiency occurs when a control fails to operate effectively or is missing.

A wrong: High cost is an efficiency issue, not a design deficiency.

C wrong: Documentation gaps are only one form of deficiency.

D wrong: Automated controls can be effective or deficient.

Q34

Question: Which is the MOST appropriate method for testing logical access controls within an ERP system?

A. Review the annual IT departmental expense budget.

B. Compare actual user system access rights against the approved user access matrix.

C. Interview the Chief Information Officer about security policies.

D. Review external firewall hardware configuration guides.

Q34 – Solution & Explanation

Correct Answer: B

Solution: Comparing user access lists against an approved segregation matrix tests logical access control.

A wrong: Budgets do not test system security.

C wrong: Inquiry alone provides weak evidence.

D wrong: Firewalls are perimeter controls, not ERP application user access.

Q35

Question: Which is the BEST description of a "material weakness"?

A. A minor clerical error in accounting records.

B. A deficiency (or combination of deficiencies) resulting in a reasonable possibility of a material misstatement.

C. A missing organizational policy manual.

D. An employee training deficit.

Q35 – Solution & Explanation

Correct Answer: B

Solution: A material weakness carries a reasonable possibility of resulting in a material misstatement.

A wrong: Minor errors are not material.

C wrong: Policy gaps may or may not be material.

D wrong: Training needs do not automatically equal material weaknesses.

Q36

Question: Which is the MOST appropriate action if an auditor discovers clear evidence of management override of controls?

A. Ignore the finding if the financial impact is minimal.

B. Expand substantive testing procedures and report the override to governance oversight.

C. Reduce substantive audit testing due to management cooperation.

D. Rely entirely on management representations.

Q36 – Solution & Explanation

Correct Answer: B

Solution: Management override represents high risk, requiring expanded testing and escalation.

A wrong: Override is inherently significant and cannot be ignored.

C wrong: Testing must be increased, not reduced.

D wrong: Management representations cannot replace objective testing when override occurs.

Q37

Question: Which is the BEST description of "reasonable assurance" in internal auditing?

A. Absolute, 100 percent certainty that no errors exist.

B. A high, but not absolute, level of assurance constrained by inherent audit limitations.

C. Zero assurance provided to management.

D. Management's personal performance guarantee.

Q37 – Solution & Explanation

Correct Answer: B

Solution: Reasonable assurance is high-level assurance limited by evidence constraints and cost-benefit balances.

A wrong: Absolute certainty is impossible in auditing.

C wrong: Internal audit provides positive assurance.

D wrong: Management cannot guarantee controls.

Q38

Question: Which is the MOST appropriate action when an auditor identifies indicators of possible fraud?

A. Conduct full interrogations of suspected employees alone.

B. Report indicators to appropriate management or the board and recommend a formal investigation.

C. Defer reporting until the final scheduled year-end audit report.

D. Conceal the indicators to protect employee morale.

Q38 – Solution & Explanation

Correct Answer: B

Solution: Auditors report fraud indicators and recommend investigations; they do not lead criminal interrogations.

A wrong: Solo interrogations compromise legal processes.

C wrong: Fraud indicators require prompt notification.

D wrong: Concealing fraud violates professional ethics.

Q39

Question: Which is the BEST description of the "control environment"?

A. Network firewall hardware settings.

B. The overall attitude, awareness, and actions of management and the board regarding ethics and internal control.

C. The formal annual audit plan document.

D. The external audit firm's opinion letter.

Q39 – Solution & Explanation

Correct Answer: B

Solution: The control environment represents the tone at the top regarding ethics and internal control.

A wrong: Firewalls are specific control activities.

C wrong: The plan is an operational schedule.

D wrong: External opinions are outside internal governance.

Q40

Question: Which is the MOST appropriate response when an auditor is assigned to evaluate an operational activity they managed 10 months prior?

A. Proceed with the audit normally since sufficient time has elapsed.

B. Disclose the impairment of objectivity to management and request reassignment.

C. Proceed with the audit but use a smaller sample size.

D. Ignore the prior management role entirely.

Q40 – Solution & Explanation

Correct Answer: B

Solution: Prior management responsibilities impair objectivity; auditors must disclose this and seek reassignment (Standard 1130).

A wrong: Time passage does not automatically cure impairment within one year.

C wrong: Sample size adjustments do not restore objectivity.

D wrong: Prior roles cannot be concealed.

Q41

Question: Which audit procedure provides the BEST evidence for verifying the physical existence of inventory?

A. Reviewing perpetual inventory ledger balances.

B. Direct physical observation and inspection during inventory counts.

C. Conducting an interview with the warehouse supervisor.

D. Inspecting the annual inventory purchase budget.

Q41 – Solution & Explanation

Correct Answer: B

Solution: Physical observation provides primary physical evidence of existence.

A wrong: Perpetual records are internal documentation.

C wrong: Inquiry alone provides weak evidence.

D wrong: Budgets do not confirm physical existence.

Q42

Question: Which is the BEST description of "residual risk"?

A. The risk of a misstatement remaining undetected by the auditor.

B. The risk remaining after management takes action to alter risk likelihood and impact.

C. The risk of fraud occurring before any controls are applied.

D. The risk associated with engagement staffing shortages.

Q42 – Solution & Explanation

Correct Answer: B

Solution: Residual risk is the risk remaining after management implements risk responses and controls.

A wrong: Undetected misstatement risk is detection risk.

C wrong: Risk before controls is inherent risk.

D wrong: Staffing issues relate to resource risk.

Q43

Question: Which is the MOST appropriate way to coordinate internal audit activities with external auditors?

A. Share all internal audit files unrestricted without reviewing confidentiality protocols.

B. Coordinate timing, scope, and access to workpapers while protecting independence.

C. Allow external auditors to dictate internal audit's annual plan and budget.

D. Avoid all direct contact to maintain absolute separation.

Q43 – Solution & Explanation

Correct Answer: B

Solution: Coordination should align timing and scope while maintaining internal audit independence.

A wrong: Unrestricted sharing may violate confidentiality rules.

C wrong: External audit must not direct internal audit.

D wrong: Complete avoidance results in inefficient overlap.

Q44

Question: Which elements comprise the classic "fraud triangle"?

A. Inherent risk, control risk, and detection risk.

B. Pressure/incentive, opportunity, and rationalization.

C. Plan, do, check, and act.

D. Cash, inventory, and accounts receivable.

Q44 – Solution & Explanation

Correct Answer: B

Solution: Cressey's fraud triangle consists of pressure/incentive, opportunity, and rationalization.

A wrong: Those form the audit risk model.

C wrong: That is the continuous improvement (PDCA) cycle.

D wrong: Those are financial balance sheet accounts.

Q45

Question: Which audit test provides the BEST evidence regarding the operating effectiveness of segregation of duties?

A. Observing a single transaction execution once during fieldwork.

B. Examining system user access rights, profiles, and role configurations.

C. Conducting a brief interview with the department manager.

D. Reviewing the organization chart graphic.

Q45 – Solution & Explanation

Correct Answer: B

Solution: Examining actual system access rights and roles provides strong evidence of segregation.

A wrong: Single observations provide limited coverage.

C wrong: Inquiry alone is insufficient.

D wrong: Org charts do not show system authorization rights.

Q46

Question: Which is the BEST description of "inherent risk"?

A. The risk remaining after management implements controls.

B. The susceptibility of an information item or process to error or fraud assuming no related controls exist.

C. The risk that the auditor fails to uncover a material error.

D. The risk of corporate legal noncompliance.

Q46 – Solution & Explanation

Correct Answer: B

Solution: Inherent risk is the exposure existing prior to considering internal controls.

A wrong: Post-control risk is residual risk.

C wrong: Auditor failure risk is detection risk.

D wrong: Compliance risk is a specific category of risk.

Q47

Question: Which is the BEST description of "detection risk"?

A. The risk that internal audit procedures fail to detect a material misstatement.

B. The risk that internal controls fail to prevent a misstatement.

C. The risk inherent in the operational environment.

D. The risk of executive management fraud override.

Q47 – Solution & Explanation

Correct Answer: A

Solution: Detection risk is the risk that audit procedures fail to identify existing errors.

B wrong: Control failure risk is control risk.

C wrong: Environmental risk is inherent risk.

D wrong: Override relates to control environment and fraud risk.

Q48

Question: Which procedure is MOST appropriate for testing a routine bank reconciliation control?

A. Reading the written accounting policy manual.

B. Re-performing the reconciliation calculation and investigating reconciling items.

C. Interviewing the accounts payable supervisor.

D. Reviewing the annual cash flow forecast.

Q48 – Solution & Explanation

Correct Answer: B

Solution: Re-performing reconciliations tests whether the control operates as intended.

A wrong: Policy review tests design, not operation.

C wrong: Inquiry alone provides weak evidence.

D wrong: Cash flow forecasts are forward-looking budgets.

Q49

Question: Which is the MOST appropriate action when an auditor identifies an unmitigated conflict of interest?

A. Conceal the conflict from audit leadership.

B. Document the conflict and escalate through proper organizational channels.

C. Confront the individual involved in a hostile manner.

D. Leak details of the conflict to external news media.

Q49 – Solution & Explanation

Correct Answer: B

Solution: Conflicts of interest must be documented and reported through formal channels.

A wrong: Concealment violates the Code of Ethics.

C wrong: Hostile confrontation increases organizational risk.

D wrong: Leaking information breaches confidentiality.

Q50

Question: Which practices represent foundational elements of basic "cyber hygiene"?

A. Corporate marketing strategy alignment.

B. Regular software patching, secure backups, and strict access controls.

C. Minimizing physical office desk space.

D. Reducing internal audit reporting frequency.

Q50 – Solution & Explanation

Correct Answer: B

Solution: Cyber hygiene covers essential IT security practices such as patching, backups, and access management.

A wrong: Marketing is unrelated to IT security.

C wrong: Office layout does not constitute cyber hygiene.

D wrong: Reporting frequency does not affect security.

Q51

Question: Which is the FIRST step in planning an internal audit engagement under Standard 2200?

A. Performing substantive transaction testing.

B. Establishing engagement objectives, scope, and criteria.

C. Drafting the final audit report draft.

D. Conducting the formal exit conference.

Q51 – Solution & Explanation

Correct Answer: B

Solution: Standard 2200/2201 states engagement planning begins with objectives, scope, and criteria.